



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2024-25
MONDAY TEST

CLASS: X
SUBJECT: COMMERCIAL STUDIES

FULL MARKS: 40
DATE: 30/09/2024

Instructions:

- Attempt all questions.
- The intended marks for questions or parts of questions are given in brackets [].
- This question paper consists of *three* printed pages.
- You will not be allowed to write during the first 5 minutes. This time is to be spent in reading the Question Paper.
- All workings including rough work must be clearly shown in the same sheet as the rest of the answers.

SECTION A (16 MARKS)

Question 1

Choose the correct alternative for the following questions:

[1x8=8]

a. Assertion (A): Budgeting helps in planning and controlling the financial activities of a business.

Reason (R): A budget is a forecast of future financial performance, which is subject to market changes.

- i) A is true, and R is the correct explanation of A.
- ii) A is true, but R is not the correct explanation of A.
- iii) A is true, but R is false.
- iv) A is false, but R is true.

b. In a sole proprietorship, the main purpose of preparing a Profit and Loss Account is to determine:

- | | |
|--|--|
| i) Net worth of the business | iii) Total liabilities |
| ii) Financial position of the business | iv) Net profit or loss during the year |

c. Which of the following is an example of a long-term source of finance?

- | | |
|-------------------|--------------------------|
| i) Cash credit | iii) Overdraft |
| ii) Equity shares | iv) Discounting of bills |

d. In the final accounts of a sole proprietorship, the closing stock appears in which of the following?

- i) Trading Account and Balance Sheet
- ii) Profit and Loss Account only General Expenses
- iii) Trading Account only
- iv) Balance Sheet only

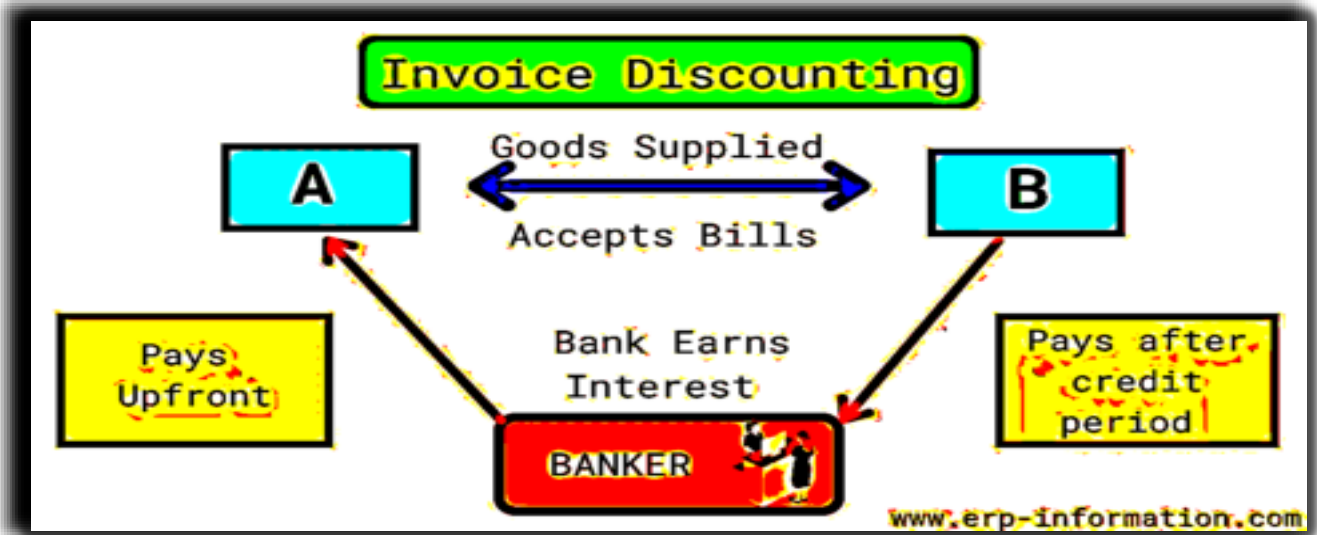
e. What is the purpose of an overdraft facility provided by a commercial bank?

- i) To offer long-term loans for capital expenditure
- ii) To provide short-term finance by allowing withdrawals beyond the account balance
- iii) To discount bills of exchange for immediate cash
- iv) To purchase government securities

f. The Balance Sheet of a sole proprietorship is prepared to:

- i) Determine the net loss during the year
- ii) Calculate gross profit
- iii) Determine the financial position of the business
- iv) Record all sales and purchases

g.



Identify the above source of raising finance by a businessman.

- | | |
|---------------------|---------------------------|
| i) Loan from friend | iii) Discounting of bills |
| ii) Debenture | iv) Preference share |

h. Which of the following source of finance is restricted to only businessman having a current account in a bank?

- | | |
|-----------------------|----------------------|
| i) Discounting allows | iii) General reserve |
| ii) Shares | iv) Overdraft |

Question 2

[2x6=12]

- How would you differentiate between budgeting and forecasting in terms of their purpose and authority on a company's financial planning?
- If a company overestimates its sales in the sales budget, what possible impacts could this have on its production and cash budgets?
- Is it possible for a company with a gross profit in its trading account to have a net loss in its profit and loss account? Provide reasoning to back up your response.
- Distinguish between preference shares and equity shares?
- Why is a master budget called a summary budget?
- Imagine you are the owner of a small tech startup looking to expand your business. You need to raise capital, and considering to offer equity shares to potential investors. One of your friends, asks you to explain what equity shares are and why you choose this method for raising funds. How would you explain the concept of equity shares?

SECTION B (20 MARKS)

Answer all the questions

[5+5=10]

Question 3

- Imagine you're tasked with developing a budget for a small business specialising in handmade candles. Discuss how budgeting can be useful to a firm.
- Adya Industries borrowed funds for the smooth operations of the company and issued a certificate under its seal as an acknowledgement of its debt. Which source of finance was used in the above situation? Differentiate between the above source and any other long-term source of finance.

Question 4

[10]

From the following Trial Balance, prepare Trading and Profit and Loss Account for the year ended 31st March, 2024, and a Balance Sheet as at that date:

	Dr. ₹		Cr. ₹
Opening stock	22,500.00	Sales	1,89,000.00
Depreciation	7,000.00	Commission received	2,000.00
Carriage	700.00	Capital	1,71,300.00
Furniture	8,000.00	Creditors	27,000.00
Machinery	2,00,000.00	Bills Payable	5,000.00
Cash	8,900.00	Returns outwards	3,800.00
Salaries	7,500.00		
Debtors	19,000.00		
Discount	1,500.00		
Bills Receivables	17,000.00		
Wages	16,000.00		
Sales Return	4,000.00		
Purchases	86,000.00		
	3,98,100.00		3,98,100.00

Closing Stock was valued at ₹ 45,000.00